



Senate

General Assembly

File No. 208

February Session, 2026

Substitute Senate Bill No. 338

Senate, March 26, 2026

The Committee on Housing reported through SEN. MARX of the 20th Dist., Chairperson of the Committee on the part of the Senate, that the substitute bill ought to pass.

AN ACT CONCERNING HOUSING UNIT-EQUIVALENT POINTS FOR DEVELOPMENTS SUBJECT TO LITIGATION.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Subsection (l) of section 8-30g of the 2026 supplement to the
2 general statutes is repealed and the following is substituted in lieu
3 thereof (*Effective October 1, 2026*):

4 (l) (1) Except as provided in subdivision (2) of this subsection, the
5 affordable housing appeals procedure established under this section
6 shall not be applicable to an affordable housing application filed with a
7 commission during a moratorium, which shall commence after (A) a
8 certification of affordable housing project completion issued by the
9 commissioner is published in the Connecticut Law Journal, or (B) notice
10 of a provisional approval is published pursuant to subdivision (4) of this
11 subsection. Any such moratorium shall be for a period of four years,
12 except that for any municipality that has (i) twenty thousand or more
13 dwelling units, as reported in the most recent United States decennial
14 census, and (ii) previously qualified for a moratorium in accordance

15 with this section, any subsequent moratorium shall be for a period of
16 five years. Any moratorium that is in effect on October 1, 2002, is
17 extended by one year.

18 (2) Such moratorium shall not apply to (A) affordable housing
19 applications for assisted housing in which ninety-five per cent of the
20 dwelling units are restricted to persons and families whose income is
21 less than or equal to sixty per cent of the median income, (B) other
22 affordable housing applications for assisted housing containing forty or
23 fewer dwelling units, or (C) affordable housing applications which were
24 filed with a commission pursuant to this section prior to the date upon
25 which the moratorium takes effect.

26 (3) Eligible units completed before a moratorium has begun, but that
27 were not counted toward establishing eligibility for such moratorium,
28 may be counted toward establishing eligibility for a subsequent
29 moratorium. Eligible units completed after a moratorium has begun
30 may be counted toward establishing eligibility for a subsequent
31 moratorium.

32 (4) (A) Except as provided in subparagraph (B) of this subdivision,
33 the commissioner shall issue a certificate of affordable housing project
34 completion for the purposes of this subsection upon finding that there
35 has been completed within the municipality one or more affordable
36 housing developments which create housing unit-equivalent points
37 equal to (i) the greater of two per cent of all dwelling units in the
38 municipality, as reported in the most recent United States decennial
39 census, or seventy-five housing unit-equivalent points, or (ii) for any
40 municipality that has (I) adopted a municipal housing growth plan or
41 has elected to comply with a regional housing growth plan in
42 accordance with the provisions of section 8-13cc, (II) twenty thousand
43 or more dwelling units, as reported in the most recent United States
44 decennial census, and (III) previously qualified for a moratorium in
45 accordance with this section, one and one-half per cent of all dwelling
46 units in the municipality, as reported in the most recent United States
47 decennial census.

48 (B) If a municipality has received a final letter of eligibility from the
49 commissioner pursuant to section 8-13gg, the commissioner shall issue
50 a certificate of affordable housing completion to such municipality at
51 such time as, upon application, the commissioner determines, in the
52 commissioner's discretion, that the municipality is in compliance with
53 the following conditions: The municipality remains in compliance with
54 all requirements for a final letter of eligibility, and there has been
55 completed within the municipality one or more affordable housing
56 developments that create housing unit-equivalent points equal to (i) the
57 greater of one and three-quarter per cent of all dwelling units in the
58 municipality, as reported in the most recent United States decennial
59 census, or sixty-five housing unit-equivalent points, or (ii) for any
60 municipality that (I) has adopted a municipal housing growth plan or
61 has elected to comply with a regional housing growth plan in
62 accordance with the provisions of section 8-13bb, (II) has twenty
63 thousand or more dwelling units, as reported in the most recent United
64 States decennial census, and (III) previously qualified for a moratorium
65 in accordance with this section, one and one-half per cent of all dwelling
66 units in the municipality, as reported in the most recent United States
67 decennial census.

68 (C) A municipality may apply for a certificate of affordable housing
69 project completion pursuant to this subsection by applying in writing to
70 the commissioner, and including documentation showing that the
71 municipality has accumulated the required number of points within the
72 applicable time period. Such documentation shall include the location
73 of each dwelling unit being counted, the number of points each dwelling
74 unit has been assigned, and the reason, pursuant to this subsection, for
75 assigning such points to such dwelling unit. Upon receipt of such
76 application, the commissioner shall promptly cause a notice of the filing
77 of the application to be published in the Connecticut Law Journal,
78 stating that public comment on such application shall be accepted by the
79 commissioner for a period of thirty days after the publication of such
80 notice. Not later than ninety days after the receipt of such application,
81 the commissioner shall either approve or reject such application. Such
82 approval or rejection shall be accompanied by a written statement of the

83 reasons for approval or rejection, pursuant to the provisions of this
84 subsection. If the application is approved, the commissioner shall
85 promptly cause a certificate of affordable housing project completion to
86 be published in the Connecticut Law Journal. If the commissioner fails
87 to either approve or reject the application within such ninety-day
88 period, such application shall be deemed provisionally approved, and
89 the municipality may cause notice of such provisional approval to be
90 published in a conspicuous manner in a daily newspaper having general
91 circulation in the municipality, in which case, such moratorium shall
92 take effect upon such publication. The municipality shall send a copy of
93 such notice to the commissioner. Such provisional approval shall
94 remain in effect unless the commissioner subsequently acts upon and
95 rejects the application, in which case the moratorium shall terminate
96 upon notice to the municipality by the commissioner.

97 (5) For the purposes of this subsection, "elderly units" are dwelling
98 units whose occupancy is restricted by age, "family units" are dwelling
99 units whose occupancy is not restricted by age, and "resident-owned
100 mobile manufactured home park" has the same meaning as provided in
101 subsection (k) of this section.

102 (6) For the purposes of this subsection, housing unit-equivalent
103 points shall be determined by the commissioner as follows: (A) No
104 points shall be awarded for a unit unless its occupancy is restricted to
105 persons and families whose income is equal to or less than eighty per
106 cent of the median income, except that (i) unrestricted units in a set-
107 aside development shall be awarded one-quarter point each, and (ii)
108 dwelling units in transit community middle housing developments
109 developed pursuant to subdivision (2) of subsection (a) of section 8-2s
110 shall be awarded one-quarter point each; (B) family units restricted to
111 persons and families whose income is equal to or less than eighty per
112 cent of the median income shall be awarded one point if an ownership
113 unit and one and one-half points if a rental unit; (C) family units
114 restricted to persons and families whose income is equal to or less than
115 sixty per cent of the median income shall be awarded one and one-half
116 points if an ownership unit and two points if a rental unit; (D) family

117 units restricted to persons and families whose income is equal to or less
118 than forty per cent of the median income shall be awarded two points if
119 an ownership unit and two and one-half points if a rental unit; (E)
120 elderly units restricted to persons and families whose income is equal to
121 or less than eighty per cent of the median income shall be awarded one-
122 half point; (F) a set-aside development containing family units which
123 are rental units shall be awarded additional points equal to twenty-two
124 per cent of the total points awarded to such development, provided the
125 application for such development was filed with the commission prior
126 to July 6, 1995; (G) a mobile manufactured home in a resident-owned
127 mobile manufactured home park shall be awarded points as follows: (i)
128 One and one-half points when occupied by persons and families with
129 an income equal to or less than eighty per cent of the median income,
130 (ii) two points when occupied by persons and families with an income
131 equal to or less than sixty per cent of the median income, and (iii) one-
132 fourth point for the remaining units; and (H) any unit described in
133 subparagraphs (A) to (G), inclusive, of this subdivision shall be awarded
134 an additional one-quarter point, provided such unit was constructed by
135 or in conjunction with a housing authority, as defined in section 8-40, of
136 a neighboring municipality.

137 (7) (A) Points shall be awarded only for dwelling units which [(A)] (i)
138 were newly-constructed units in an affordable housing development, as
139 that term was defined at the time of the affordable housing application,
140 for which a certificate of occupancy was issued after July 1, 1990, [(B)]
141 (ii) were newly subjected after July 1, 1990, to deeds containing
142 covenants or restrictions which require that, for at least the duration
143 required by subsection (a) of this section for set-aside developments on
144 the date when such covenants or restrictions took effect, such dwelling
145 units shall be sold or rented at, or below, prices which will preserve the
146 units as affordable housing for persons or families whose income does
147 not exceed eighty per cent of the median income, or [(C)] (iii) are located
148 in a resident-owned mobile manufactured home park.

149 (B) No points shall be awarded for dwelling units in any set-aside
150 development that was the subject of an appeal filed in the Superior

151 Court pursuant to subsection (f) of this section if such appeal process (i)
 152 lasted for a period of greater than six months, and (ii) resulted in a
 153 holding by a court that the commission failed to satisfy its burden of
 154 proof under subsection (g) of this section.

155 (8) Points shall be subtracted, applying the formula in subdivision (6)
 156 of this subsection, for any affordable dwelling unit which, on or after
 157 July 1, 1990, was affected by any action taken by a municipality which
 158 caused such dwelling unit to cease being counted as an affordable
 159 dwelling unit.

160 (9) A newly-constructed unit shall be counted toward a moratorium
 161 when it receives a certificate of occupancy. A newly-restricted unit shall
 162 be counted toward a moratorium when its deed restriction takes effect.

163 (10) The affordable housing appeals procedure shall be applicable to
 164 affordable housing applications filed with a commission after a three-
 165 year moratorium expires, except (A) as otherwise provided in
 166 subsection (k) of this section, or (B) when sufficient unit-equivalent
 167 points have been created within the municipality during one
 168 moratorium to qualify for a subsequent moratorium.

169 (11) The commissioner shall, within available appropriations, adopt
 170 regulations in accordance with chapter 54 to carry out the purposes of
 171 this subsection. Such regulations shall specify the procedure to be
 172 followed by a municipality to obtain a moratorium, and shall include
 173 the manner in which a municipality is to document the units to be
 174 counted toward a moratorium. A municipality may apply for a
 175 moratorium in accordance with the provisions of this subsection prior
 176 to, as well as after, such regulations are adopted.

This act shall take effect as follows and shall amend the following sections:		
Section 1	October 1, 2026	8-30g(l)

Statement of Legislative Commissioners:

In Subsec. (1)(7)(B), a reference to "filed in the Superior Court" was added for clarity, and "finding" was changed to "holding by a court" for accuracy.

HSG *Joint Favorable Subst. -LCO*

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact: None

Municipal Impact:

Municipalities	Effect	FY 27 \$	FY 28 \$
Various Municipalities	Potential Cost	See Below	See Below

Explanation

The bill limits circumstances in which a municipality can earn housing unit equivalent points toward qualifying for a moratorium under the affordable housing land use appeals procedure.¹ This may result in a potential cost to municipalities beginning in FY 27 for legal costs to the extent fewer municipalities are awarded a moratorium.²

The Out Years

The annualized ongoing fiscal impact identified above would continue into the future subject to inflation and the number of moratoriums that are awarded.

¹ As of August 2025, five municipalities have an active moratorium granted under CGS 8-30g.

² Several municipalities reported spending up to \$215,000 on legal costs, appeals, and litigation related to CGS 8-30g projects within the past few years.

OLR Bill Analysis**sSB 338*****AN ACT CONCERNING HOUSING UNIT-EQUIVALENT POINTS FOR DEVELOPMENTS SUBJECT TO LITIGATION.*****SUMMARY**

This bill amends the affordable housing land use appeals procedure (§ 8-30g) by limiting the circumstances in which a municipality can earn HUE (housing unit equivalent) points toward qualifying for a temporary suspension of the procedure (moratorium). Broadly, the limitation is based on whether dwellings that are eligible for HUE points were built following a successful appeal under § 8-30g.

Generally, a municipality becomes eligible for a four- or five-year moratorium from appeals taken under § 8-30g each time it shows it has added a certain number of dwelling units to its housing stock, measured in HUE points. The number of points required depends on factors such as the municipality's size and whether it adopted certain zoning regulations or has qualified for a moratorium before.

The bill prohibits municipalities from earning HUE points for dwelling units in a set-aside development (see *Set-Aside Development*, below) if:

1. the local land use commission rejected the application for the development or approved it with certain restrictions;
2. the developer appealed the decision to court under § 8-30g; and
3. the appeals process lasted more than six months and resulted in the court holding that the local commission did not satisfy its burden of proof (see *Burden of Proof in § 8-30g Appeals*, below).

(The bill does not specify what event triggers the beginning of the six-

month period.)

EFFECTIVE DATE: October 1, 2026

BACKGROUND

Burden of Proof in § 8-30g Appeals

In traditional land use appeals brought by a developer, the developer must convince the court that the municipality acted illegally or arbitrarily or abused its discretion. However, for affordable housing developments, § 8-30g instead places the burden of proof on municipalities to defend their decisions to (1) reject affordable housing development applications (such as for a set-aside development) or (2) approve them with restrictions that would have a substantial adverse impact on the project's viability or the affordability of income-restricted units.

Set-Aside Development

Generally, under § 8-30g, a "set-aside development" is a development in which, at least 40 years after initial occupancy, at least 30% of the units are deed restricted for low- and moderate- income families.

Related Bills

The Housing, Insurance and Real Estate, and Planning and Development committees reported favorably several bills affecting § 8-30g, including: HB 5362 (reduces the required affordability period for set-aside developments on municipal land, requires the court to stay appeals when a municipality applies for a moratorium, extends moratoria to align with housing growth plans, requires towns to report on affordable housing applications, and clarifies middle housing HUE point allocations); HB 5364 (redefines "set-aside development" to reduce required affordability periods and aligns HUE point allocations with them); sHB 5365 (modifies HUE point allocations, including for accessory apartments and certain deeply affordable housing); sHB 5376 (adds an additional ground for a local commission to defend its decision on an affordable housing application); and sHB 5395 (allocates HUE

points to modular and prefabricated homes that don't otherwise qualify for points).

COMMITTEE ACTION

Housing Committee

Joint Favorable

Yea 12 Nay 7 (03/10/2026)